

BUSINESS PROPOSAL



FOR TECHNICAL WRITINGS, GLAU

What is a Proposal?



- A project proposal is the document that facilitates a professional relationship between an organization or a professional or outside contributors. Usually, a project proposal is the preliminary outline for establishing the concept of the project and includes what you want to achieve, an explanation of objectives, and plans for achieving them.
- **Business Proposal:**
A business proposal is a document you send to potential customers to persuade them to do business with you. Business proposals are a common and effective way to win business. Research your potential customer before writing a business proposal; customize your proposal to address their needs. Your tone should appeal to your potential customer while aligning with your brand's personality. In general, you should strive to be clear and courteous. Your proposal should be long enough to convey why your potential customer should do business with you, but it should not be unnecessarily long or contain irrelevant details.

Types of Proposals



- There are 3 distinct categories of proposals.
 1. formally solicited proposal
 2. Informally solicited proposal
 3. Unsolicited proposal
- **FORMALLY SOLICITED PROPOSAL**
- A solicited proposal is one in which the recipient has requested the proposal. Typically, a company will send out requests for proposals (RFPs) through the mail or publish them in some news source. But proposals can be solicited on a very local level: for example, you could be explaining to your boss what a great thing it would be to install a new technology in the office; your boss might get interested and ask you to write up a proposal that offered to do a formal study of the idea.
- There are four responses to it:
 - RFP(request for proposal)
 - RFQ(request for quotation)
 - IFB(Invitation for bid)
 - RFI (request for information)



- **Informally solicited proposal**
- In this case, prospective clients are interested in your services and request a proposal to examine. These proposals typically need a lot more investigation since they are based on personal interactions rather than formal requests which often contain all the necessary information.
- Informally solicited proposal are typically the result of conversations held between a vendor and a prospective customer.



- **Unsolicited proposal**
- Unsolicited proposals are those in which the recipient has not requested proposals. With unsolicited proposals, you sometimes must convince the recipient that a problem or need exists before you can begin the main part of the proposal.
- Unsolicited proposals can come in many forms, such as auctions, marketing campaigns, or contests to name just a few.

Advantages of Proposals



- ❖ establishes projects ability to work successfully
- ❖ clarifies expectations
- ❖ Well designed proposal creates strcuture
- ❖ Increase the chance of the approval of budget requirements
- ❖ Well structured proposals fuel business growth
- ❖ Effective proposal expose the brand
- ❖ Sound proposals ensure future success
- ❖ Well designed proposals establish how to plan for success



- **Elements/Parts of a Business Proposal:**
- Though every business proposal should be customized to appeal to a unique potential customer, most business proposals will include the following sections.
 - • Title Page
 - • Table of Contents
 - • Executive Summary
 - • Problem Statement
 - • Proposed Solution
 - • Qualifications
 - • Timeline
 - • Pricing
 - • Terms and Conditions
 - • Agreement

Executive Summary



Your executive summary is not just a summary of your proposal. It is your chance to make your case directly to the executives who will decide whether or not to do business with you.

Your **executive summary** should

- identify your potential customer's problem;
- recommend a solution to their problem;
- state why you are the best choice to implement this solution.

Be specific but concise; you will flesh out your points later in your proposal. Focus on your potential customer and what you can provide them. Translate any complex topics so that they are easy to understand.



Problem Statement:

Show your potential customer that you understand the problem they are facing. You should know all about the problem from your extensive research. Use facts and emotional appeals to craft a persuasive argument that their problem needs to be solved. Be detailed, but only include directly relevant information.

Proposed Solution:

This will likely be the longest part of your business proposal. You want to convince your potential customer that you have the best solution to their problem. Describe your solution, how it will benefit your potential customer, and how you will implement it. Address any concerns your potential customer may have. Explain the details of your proposed solution clearly and accurately. Do not shy away from including technical information, as your target audience now includes technical evaluators and specialists who do not require the simplified language you used in your executive summary.



- **Qualifications:**

You must convince your potential customer that you are able to solve their problem. Establish the credentials of your company. Inform your potential customer about your relevant expertise and accomplishments. Consider using testimonials from previous customers and case studies demonstrating your success.

- **Timeline**

- Include a timeline so that your potential customer knows how long it will take you to implement
- your proposed solution. Be as specific and realistic as possible. Consider using graphics to display your timeline.

- **Pricing**

- Include a realistic and detailed breakdown of costs. Make sure that your pricing structure is clear,
- so your potential customer knows what they are paying for. Use tables and graphs to display
- your pricing data. Consider including an analysis that shows the return on investment your potential customer can expect.



Terms and Conditions

This section lets your potential customer know what is expected of both parties should they accept your proposal. This part is, in effect, a contract. Thoroughly cover billing procedures, project scope, and other legal aspects of the deal. Your company may have a boilerplate agreement that you can use. Keep in mind that these terms may be modified during negotiations. Consider consulting a lawyer when working on this part of your business proposal.

Agreement

If a proposal doesn't lead to an agreement to do work together, then the proposal has failed. Make it as easy as possible for your potential customer to accept your proposal. Include space for your potential customer to sign. Like the terms and conditions, this part is, in effect, a contract.